The Rise of Agentic AI and the End of Time-Based Billing

Purpose

The future of tech services is transitioning from traditional models to a new paradigm driven by AI, particularly agentic AI. The central challenge is not lack of opportunity, but rather how to build and capture value in a world where legacy delivery models are breaking down. The conversation centers on the need to shift from labor-based pricing to outcome-based, token-driven business models that reflect the real value delivered.

Key Takeaways

- The current tech services business model-based on human labor and time-is fundamentally broken due to AI-driven automation.
- Agentic AI represents a structural discontinuity, not just an inflection point, requiring a complete rewiring of systems, processes, and business models.
- True opportunity lies in owning process transformation and delivering measurable outcomes, not just productivity improvements.
- **Token value**-the economic value derived from AI inference and agent actions-is not currently captured in traditional pricing models (T&M or fixed price).
- The future of tech services will be defined by a blend of consulting, software, engineering, and BPO-like process management capabilities.

The End of the Old Model

The existing tech services business model, which hinges on billing based on human effort and time (e.g., seat-based models), is no longer sustainable. The multiplier of human hours × effort is dissolving as AI agents perform tasks faster and with fewer resources.

- **Labor substitution is accelerating**: Tasks that once took hundreds of man-months (e.g., building an OLX clone) can now be done in **under 30 minutes** using AI.
- **Headcount reductions are visible** across the industry, even as AI revenue grows-highlighting a disconnect between output and staffing.
- The model's collapse is not due to lack of demand, but because the nature of demand is changing.

> "There is no future in which the existing service delivery survives."

Even extreme exceptions (e.g., highly regulated or custom systems) do not invalidate the broader trend: automation is eliminating predictable, scriptable work.

The New Era: System of Action

The industry is moving from:

- System of Record → System of Engagement → System of Intelligence → **System of Action.**

This last shift is profound:

- Systems of record are becoming **systems of authority**, storing not just transactional data but process data, decision rights, and delegation authority.
- Systems of engagement are evolving into **systems of accountable delegation**, where tasks are not just performed, but accountability is traceable.
- Systems of intelligence now span proprietary models, foundation models, and multimodal capabilities, enabling agents to act autonomously.

This era is not just about insight generation-it's about **automated action**. The bottleneck is no longer data or analytics, but building the infrastructure for agents to **invoke decisions** and **trigger processes** .

The Real Challenge: Business Model Innovation

The core question for tech services is not what to build, but how to charge for it.

Why the Old Model Fails

- Current pricing (T&M, fixed price) charges only for **human labor**, ignoring **token value**-the cost and output of AI inferences.
- Tokens are a **productive asset**, but their value is intermediated by cloud and model providers, leaving services firms with weak leverage.
- If a process is codified into an SOP, it can be automated into tokens-making it **unsustainable as a human-delivered service**.

The Opportunity: Capturing Token Value

To capture value, firms must:

- Own the **end-to-end process**-especially agentic ones-so they can claim both labor and token-based value.
- Deliver **auditable delegation**, ensuring agents act within defined authority.
- Enable **continuous verifiability** of results, especially in regulated domains (e.g., healthcare, finance).

A Case Study: Independent Dispute Resolution (IDR)

An ideal example of transformation:

- Once unviable due to high cost (SME time) and **50% loss ratio**, IDR is now becoming **agentic**.
- A project bid **60% lower** than previous benchmarks succeeded not by cutting labor, but by provisioning proprietary data, enabling agent-to-agent integration, and embedding verifiability.
- The **revenue uplift** came from owning the tokenized process, not the human hours.

> "Something that was unviable is now fully viable-not because of labor, but because of architecture."

The New Operating Model

To survive and thrive, tech services firms must reinvent their entire structure.

Organizational Shift

- Move from **vertical-based structures** (e.g., healthcare, BFSI) to **process value chain ownership**.
    - The firm tracks itself by the **seven core processes** it owns, with plans to expand to 14.
    - Win the process, learn from it, then scale.

Capability Shift

- **Forward-deployed engineering**: Tech services must now act like consultancies, delivering outcome-oriented solutions, not just technology.
- **Process management**: Firms must manage processes like BPOs, but powered by AI platforms.
- **Software characteristics**: Solutions must behave like software-scalable, reusable, with embedded tokens.

The Future Business Model Mix

The evolved tech services firm will operate under **four integrated business models**:

1. **Software Opportunity**: Offering platform-based, agent-first services.
2. **Consulting Opportunity**: Redesigning enterprise processes for AI.
3. **Forward-Deployed Engineering**: Outcome-based tech delivery.
4. **BPO-Like Process Management**: Owning and operating processes end-to-end.

Crucially, the **software stack opportunity** allows firms to **own token value**, a key differentiator.

> "The future is not speculative-it is already visible in revenue streams of advanced firms."

Constraints to Adoption

Despite opportunity, progress is constrained by:

- **Process redesign complexity**: Redefining delegation, authority, and audibility in agentic workflows.
- **Workforce transformation**: Resistance to change and need for new skills.
- **Cultural inertia**: Organizations still pilot instead of committing.

The speaker banned pilots in favor of **MVPs sponsored by CXOs**, ensuring real accountability and organizational readiness.

Who Is Leading?

Leaders are not those discussing AI, but **those building**:

- They stop funding pilots.
- They engage legal, compliance, and board stakeholders early.
- They sell to **CFOs and CEO offices**, where urgency for administrative AI is highest.

> "Listen to people who are building. Everyone else is just an opinion jockey."

Business-not IT-drives this transformation. The CIO role is no longer the sponsor; the **business leader whose performance is at stake** must own the outcomes.

Measuring Success

New metrics are needed:

- **Revenue per employee:** To assess efficiency gains.
- **Share of revenue that includes token value:** To track real AI monetization.
- **Process ownership** (not verticals) as the unit of competition.

Conclusion: The Future Must Be Built

The key insight: **The future cannot be envisaged-it must be built.**

Tech services must evolve beyond labor arbitrage and legacy delivery to become builders of **value-generative, agent-enabled systems**. The opportunity is vast, but so is the disruption. The only path forward is **optionality**: exploring new models, owning processes, and betting on **elastic AI demand**-not just productivity savings.

As the speaker concludes:

> "Make tech services great again"-but only if we're willing to **build** it.

Action Items / Next Steps

- Redefine organization around **process value chains**, not verticals
- Launch **agentic-first** practice or factory within the enterprise
- Shift from **pilots to CXO-sponsored MVPs** for real validation
- Develop pricing models that **capture token value**, not just labor
- Focus sales efforts on **CFO/CEO offices** for administrative AI adoption
- Invest in **auditable delegation** and **continuous verifiability** frameworks
- Measure progress via **revenue per employee** and **token-inclusive revenue share**